

NIMBUS RETAIL HOLDINGS, INC.

Accounting Policies & Internal Controls Narrative Fiscal Year Ended December 31, 2025

MOCK / SAMPLE DOCUMENT — FOR SOFTWARE TESTING PURPOSES ONLY

Nimbus Retail Holdings, Inc. is a fictional company. All figures, names, and events below are invented for the sole purpose of testing a document Q&A application. This is not a real work product of any accounting or audit firm and should not be used, cited, or relied upon for any actual business, audit, or accounting purpose.

Prepared by: Finance & Accounting Department

Reviewed by: External Audit Engagement Team (fictional)

Document Reference: NRH-ACC-2025-01

1. Company Overview

Nimbus Retail Holdings, Inc. ("Nimbus" or "the Company") is a mid-market specialty retailer operating 142 stores across the United States and a direct-to-consumer e-commerce platform. The Company's fiscal year ends December 31. Nimbus is privately held, with a syndicate of institutional investors holding approximately 61% of outstanding equity and the founding family holding the remainder. The Company's primary operating segments are Retail Stores and E-Commerce, which are aggregated for financial reporting purposes as they share similar economic characteristics, customers, and distribution methods.

This narrative describes the Company's significant accounting policies and the design of internal controls over financial reporting (ICFR) for the fiscal year ended December 31, 2025, and is prepared to support the external audit engagement team's planning and control testing procedures.

2. Revenue Recognition Policy

The Company recognizes revenue in accordance with ASC 606, Revenue from Contracts with Customers. Revenue from retail store sales is recognized at the point of sale, net of estimated returns and applicable sales tax. Revenue from e-commerce sales is recognized upon delivery to the customer, which is the point at which control of the goods transfers, based on estimated transit times by shipping method and destination.

The Company offers a loyalty rewards program ("Nimbus Perks") under which customers earn points redeemable for future purchases. A portion of the transaction price on qualifying purchases is allocated to a contract liability representing the standalone selling price of the loyalty points earned, and is recognized as revenue when points are redeemed or expire. Unredeemed points are estimated to expire based on historical redemption patterns ("breakage"), reviewed annually.

Sales returns are estimated using the expected value method based on a rolling twelve-month lookback of historical return rates by product category, adjusted for known changes in return policy or product mix. A refund liability and corresponding right-of-return asset are recorded at each reporting date.

3. Inventory Valuation

Merchandise inventory is stated at the lower of cost or net realizable value, with cost determined using the weighted-average cost method. The Company records an inventory shrinkage reserve based on the historical results of physical inventory counts, adjusted for current-year loss prevention metrics. Physical counts are performed at all store locations on a cycle-count basis throughout the year, with a full count at the Company's three distribution centers performed annually in November.

A reserve for excess and obsolete inventory is recorded for slow-moving and end-of-life merchandise, calculated using an aging methodology that reserves 25% of cost for items with no sales activity in the trailing 6 months, 60% for 6-12 months, and 100% for items with no sales activity in the trailing 12+ months, subject to management override for planned clearance events.

4. Leases

The Company leases substantially all of its retail store locations and one of its three distribution centers under operating leases with initial terms ranging from 5 to 12 years, most of which include options to extend for one or more 5-year periods. In accordance with ASC 842, the Company recognizes a right-of-use asset and corresponding lease liability at lease commencement, measured at the present value of unpaid lease payments using the Company's incremental borrowing rate, as the rate implicit in the lease is not readily determinable. Lease extension options are included in the lease term only when the Company is reasonably certain to exercise them.

As of December 31, 2025, the Company's weighted-average remaining lease term was 6.4 years and the weighted-average discount rate was 7.1%.

5. Related Party Transactions

The Company leases its corporate headquarters from Halden Properties LLC, an entity controlled by members of the founding family who collectively hold a Board seat and equity interest in Nimbus. Annual base rent under this lease was \$1.4 million for fiscal 2025, which management believes approximates market terms based on an independent appraisal obtained in fiscal 2023.

In March 2025, the Company entered into a consulting agreement with a firm owned by a member of the Board of Directors' immediate family, under which the Company paid \$185,000 for store-design consulting services during the year. This arrangement was reviewed and approved by the Audit Committee in accordance with the Company's related-party transaction policy.

6. Internal Controls Over Financial Reporting: Procure-to-Pay Cycle

6.1 Purchase Requisition and Approval

Purchase requisitions for merchandise and non-merchandise goods/services are initiated in the Company's ERP system (NetSuite) by authorized requestors. Requisitions above \$10,000 require approval from a department director; requisitions above \$75,000 require approval from the VP of Finance; requisitions above \$250,000 require Chief Financial Officer approval. Approval thresholds and delegation of authority are maintained in a Board-approved Delegation of Authority (DOA) matrix, last updated in January 2025.

6.2 Purchase Order and Three-Way Match

Upon requisition approval, a purchase order (PO) is system-generated and transmitted to the vendor. The accounts payable system performs an automated three-way match of the PO, the receiving report, and the vendor invoice prior to payment authorization. Invoices that do not match within a 2% price tolerance or 5% quantity tolerance are routed to an exception queue for manual review by the AP Manager. No invoice may be paid without a completed three-way match or documented override approval from the Controller.

6.3 Vendor Master File Maintenance

New vendors and changes to existing vendor banking details require dual approval: initiation by an AP clerk and independent verification by the Treasury Manager, including a callback to a previously-verified vendor phone number (not a number provided in the change request) to confirm banking detail changes. This control is designed to mitigate the risk of vendor impersonation and payment fraud.

6.4 Payment Authorization

Disbursements are processed via weekly payment runs. Payments above \$100,000 require dual signature release in the Company's banking portal by two of four authorized signers, none of whom may also hold AP clerk or vendor master file maintenance access, in accordance with the Company's segregation-of-duties matrix.

7. Internal Controls Over Financial Reporting: Order-to-Cash Cycle

Store-level point-of-sale (POS) transactions are transmitted nightly to the Company's central financial system. Daily cash reconciliations are performed by store managers and independently reviewed by District Managers on a weekly basis. E-commerce transactions are processed through a third-party payment processor, with settlement reports reconciled to the general ledger monthly by the Revenue Accounting team. Credit memos and manual price overrides at the store level above \$200 require manager override authorization captured within the POS system's audit log.

8. Legal Proceedings and Contingencies

The Company is party to a putative class action lawsuit filed in California Superior Court in August 2025 alleging violations of state wage-and-hour statutes related to meal and rest break practices at certain California store locations. The Company has recorded an accrual of \$2.1 million representing management's best estimate of probable loss, based on consultation with outside legal counsel. The range of reasonably possible loss is estimated at \$1.5 million to \$4.0 million.

Management is not aware of any other pending or threatened litigation that would be reasonably expected to have a material adverse effect on the Company's financial position.

9. Subsequent Events

Management has evaluated subsequent events through February 14, 2026, the date these financial statements were available to be issued. On January 22, 2026, the Company closed on a new \$40 million revolving credit facility with a syndicate led by Meridian National Bank, replacing its previous \$25 million facility, which was terminated concurrently. No other material subsequent events were identified.

10. Excerpt: Management Representation Letter

In connection with the audit of the Company's financial statements for the year ended December 31, 2025, management confirms the following representations to the engagement team:

- The financial statements are fairly presented in conformity with U.S. GAAP.
- Management has disclosed to the auditors all known instances of fraud or suspected fraud affecting the Company involving management, employees with significant roles in internal control, or others where fraud could have a material effect on the financial statements.
- Management believes the effects of uncorrected misstatements, summarized in the attached schedule, are immaterial, both individually and in the aggregate, to the financial statements taken as a whole.
- There are no material transactions that have not been properly recorded in the accounting records underlying the financial statements.
- The Company has complied with all aspects of contractual agreements that would have a material effect on the financial statements in the event of non-compliance.

End of document. Reminder: this is a fictional mock document created for testing a document Q&A application and does not represent real financial, legal, or audit information.